

- Q.20 State two sources for the redemption of debentures.
- Q.21 List any four items that appear under 'Reserves and Surplus' in a company's Balance Sheet.
- Q.22 Explain 'Issue of Debentures at Discount'.

SECTION-D

Note: Long answer type questions. Attempt any two questions out of three questions. (2x8=16)

- Q.23 Explain the different methods of redemption of debentures.
- Q.24 Prepare a specimen of Profit and Loss Account and Profit and Loss Appropriation Account of a Joint Stock Company.
- Q.25 Explain the accounting treatment of issue of shares at par, premium, and discount.

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3rd Sem / Finance, Accounts & Auditing

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SECTION-A

Note: Multiple choice questions. All questions are compulsory (6x1=6)

- Q.1 Shares issued at a price lower than their face value are said to be issued at:
- a) Premium b) Discount
- c) Par d) Cost
- Q.2 When the amount received on application is more than the shares offered to the public, it is called:
- a) Under-Subscription
- b) Over-subscription
- c) Full subscription
- d) Minimum subscription
- Q.3 Calls-in-Arrears represent:
- a) Amount received in excess from shareholders.
- b) Amount paid by the company to shareholders.
- c) Amount due from shareholders but not yet paid
- d) Amount of dividend declared but not paid.

Q.4 Debentures can be issued for a consideration other than cash, such as:

- a) Purchase of a building
- b) Payment of salary
- c) Repayment of a loan
- d) Declaration of dividend

Q.5 The Debenture Redemption Reserve (DRR) is created from:

- a) Share Capital
- b) Company's profits
- c) Loans taken by the company
- d) Sales of assets

Q.6 Which of the following is a current asset in a company's Balance Sheet?

- a) Land and Building b) Plant and Machinery
- c) Stock d) Goodwill

SECTION-B

Note: Objective/ Completion type questions. All questions are compulsory. (6x1=6)

Q.7 Shares can be forfeited only if the shareholder fails to pay the calls due. (True/False)

Q.8 When shares are issued at a premium, the premium amount is credited to the Share Capital Account. (True/False)

Q.9 Debentures represent the owner's capital of a company. (True/False)

Q.10 Discount on issue of debentures is a capital loss. (True/False)

Q.11 Debenture Redemption Reserve (DRR) is required to be created when debentures are redeemed out of capital. (True/False)

Q.12 The format of the balance Sheet of a joint stock company is prescribed by the companies Act. (True/False)

SECTION-C

Note: Short answer type questions. Attempt any eight questions out of ten questions. (8x4=32)

Q.13 What is meant by 'Issue of Shares at par'? Give a simple example.

Q.14 Explain 'Calls-in-Advance'. How is it shown in the company's book.

Q.15 What is 'Forfeiture of Shares'? When does it occur?

Q.16 State two purposes for which securities Premium can be utilized.

Q.17 Briefly explain 'Under-subscription' of shares.

Q.18 What is a "Debenture"? How is it different from a share? (State two points).

Q.19 What is 'Debentures issued as Collateral Security'?